

The Hong Kong Polytechnic University

Subject Description Form

Subject Code	ITC512
Subject Title	International Trade and Foreign Direct Investment in Textiles & Clothing
Credit Value	3
Level	5
Pre-requisite / Co-requisite/ Exclusion	Nil
Objectives	1. To provide students with knowledge so as to develop an understanding and awareness of international environmental forces and their impact upon global textile and clothing trading pattern and supply chain management. 2. To provide students with broad theories in international business and global supply chain management to enable them to get into an in depth understanding of the foreign direct investment process and inter-related activities involved in decisions on site selection and problems anticipated in the move for direct investment and offshore production.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: a. To identify and explain the terms and theories of global textiles and clothing trade. b. To review the world trade policies and trade regimes governing the global textile and clothing trade patterns. c. To develop an understanding on the contemporary global textile and clothing trade patterns, and explore the current state of the leading and emerging textile and clothing exporting countries. d. To critique the traditional and neoclassical theories and models in international business. e. To access host countries business environment for production and to appraise the market attractiveness of some leading and emerging textile and clothing producing countries. f. To develop critical thinking, communication skills and a global perspective, and embrace cultural appreciation

Subject Synopsis/ Indicative Syllabus	1. <u>International Trade in Textiles & Clothing</u> International trade theory and the linkage on the pattern of international textile and clothing trade. Shifting of world textile and clothing industry. The significance of China in world textile and clothing trade. 2. <u>Regulation of World Textile and Clothing Trade</u> The supranational body governing world textile trade and their implications on the development of world textile trade. Market disruption and anti-dumping rules. Tariff and non-tariff market protectionism. The impact on pattern of global textile and clothing trade with China's accession to the WTO. The Hong Kong export control system and quota transfer. 3. <u>Foreign Direct Investment in International Business</u> Critical appraisal of traditional and neoclassical theories and models of foreign direct investment. The adaptability of theories in relation to the textile and clothing industry. Multinational corporations and the industrial technology cycle. Impact of clothing multinational companies on international clothing trade. Foreign direct investment and offshore production as a strategy for China based clothing firms. Comparison of developed and developing countries MNCS and the growth of clothing MNCS in developing economy. Product types, nature of technology, regional co-operation, transactional cost analysis and the transfer process with particular reference to the clothing industry. 4. <u>Competition and Appraising Foreign Direct Investment movements</u> Appraising and assessing host countries business environment for production and market attractiveness for the clothing industry with particular emphasis in developing countries. Investment regulations, industrial and financial policies of host government. The competitive potential of China based clothing multinationals. 5. <u>The Implications of Foreign Direct Investments</u> Regionalization of global trade and foreign direct investment directions. The impact of quota phasing out on the location choice of textile and clothing multinationals. The control of the supply chain for overseas textile and clothing subsidiaries.
Teaching/Learning Methodology	The leaning approach comprises lectures and seminars. Seminar will be student-centred in the form of group presentations and discussions. Case studies relating to China and foreign situations will be presented.

Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed:					
			a	b	c	d	e	f
	1. Coursework (Group assignment)	60%	✓	✓	✓	✓	✓	✓
	2. Individual assignment	40%	✓	✓	✓	✓	✓	✓
	Total	100 %						
<u>Group assignment:</u> Students will be given a topic. Extensive literature search and trade analysis are required in the project. Students can integrate what they have learnt in class and the international setting. <u>Individual assignment:</u> Students are asked to answer essay-type questions about the concepts of international trade and foreign direct investments. The materials submitted for these assessments must be the student's own work. The submitted work may not be accepted for the purpose of assessment if its authenticity is questionable. Submitting GenAI-generated materials as students' own work or part of their work is an act of academic dishonesty. Students who are found committing academic dishonesty will face disciplinary actions.								
Student Study Effort Expected	Class contact:							
	▪ Lecture		28 Hrs.					
	▪ Tutorial		11 Hrs.					
	▪ Self-study		66 Hrs.					
	Total student study effort		105 Hrs.					
Reading List and References	<u>Indicative Reading List and References:</u> 1. Daniels, J.D., Radebaugh, L.H and Sullivan, D.P. International Business: Environments and Operations, New Jersey: Prentice Hall, 2013. 2. Dickerson, Kitty G., Textiles and Apparel in the Global Economy, Merrill, New Jersey, 1999. 3. Buckley, Peter J. and Mucchielli, Jean-Louis, Multinational firms and international relocation, Aldershot : E. Elgar, 1997.							

	4. Dunning, J.H. and Boyd, Gavin, Structural change and co-operation in the global economy, Northampton, Mass: Edward Elgar Publishing, 1999. 5. Tao, Qu, Chinese foreign direct investment: A subnational perspective on location, Ashgate Publications, 1997. <u>Periodicals:</u> Journal of World Business Harvard Business Review Textile Outlook International Textile Asia
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